UNDERSTANDING SHARES

Once shares have been issued they can then be traded on the stock market.

Shareholders buy part of a company. If share values fall, there is no guarantee that they will get their money back.

The price of a share favored by investors tends to rise; if investors lose confidence, the price tends to fall.

If a company goes bust, shareholders will probably lose most or all of their initial capital.

If a company does well, shareholders share in the returns. This is what makes buying shares so exciting to investors.

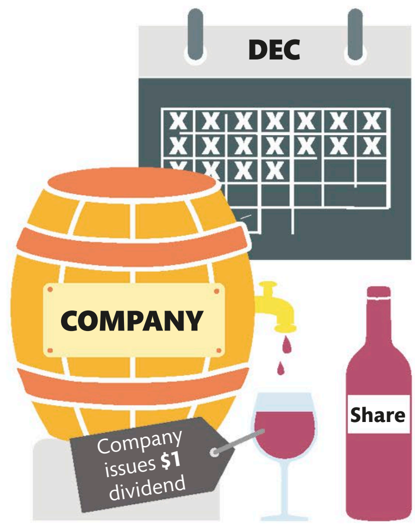
If a company fails, shareholders lose their investment but they are not responsible for a company's debts.

$169 billion

average daily trading value of the New York Stock Exchange, the largest in the world

After the IPO allocations, the company makes the shares available on the stock exchange where prices are affected by market performance.

After six months the shares gain 10% in value. Shareholders who sell shares they bought at $10 have now made a profit of $1 per share.



After another six months the company pays a dividend of $1 per share. Investors still holding their shares gain this $1 profit.